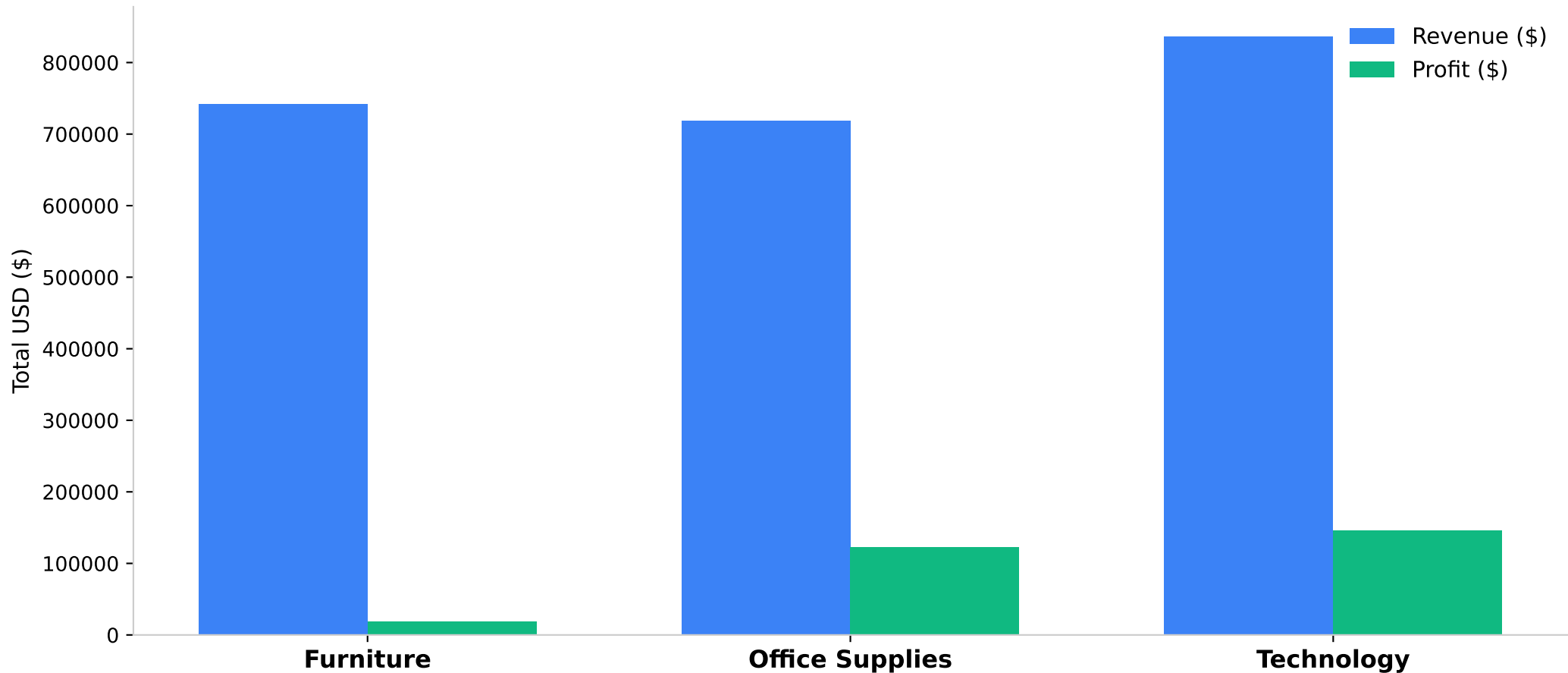


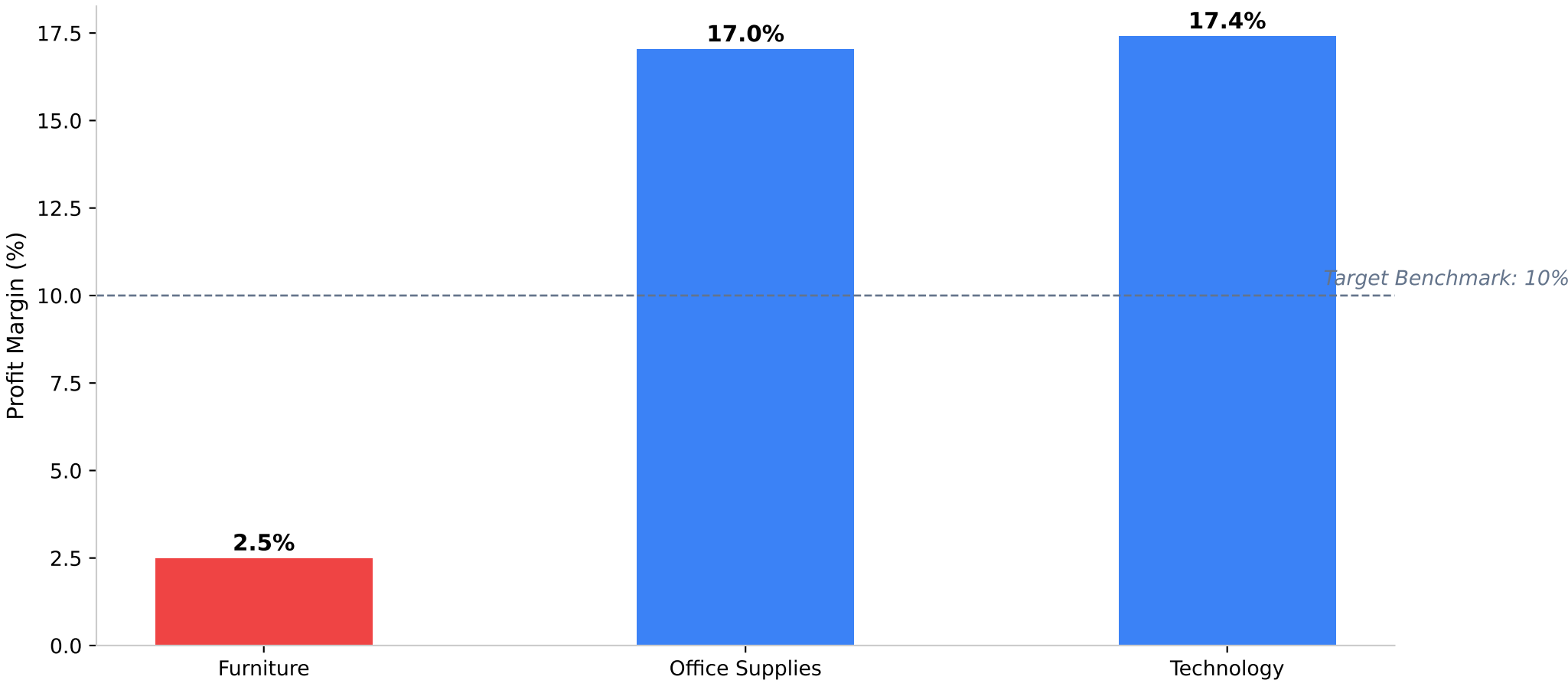
Takeaway: Furniture matches Office Supplies in revenue (\$742K) but produces only a fraction of its net profit (\$18.4K vs \$122.5K).

Slide 1: High Top-Line Revenue Fails to Yield Proportional Profits in Furniture



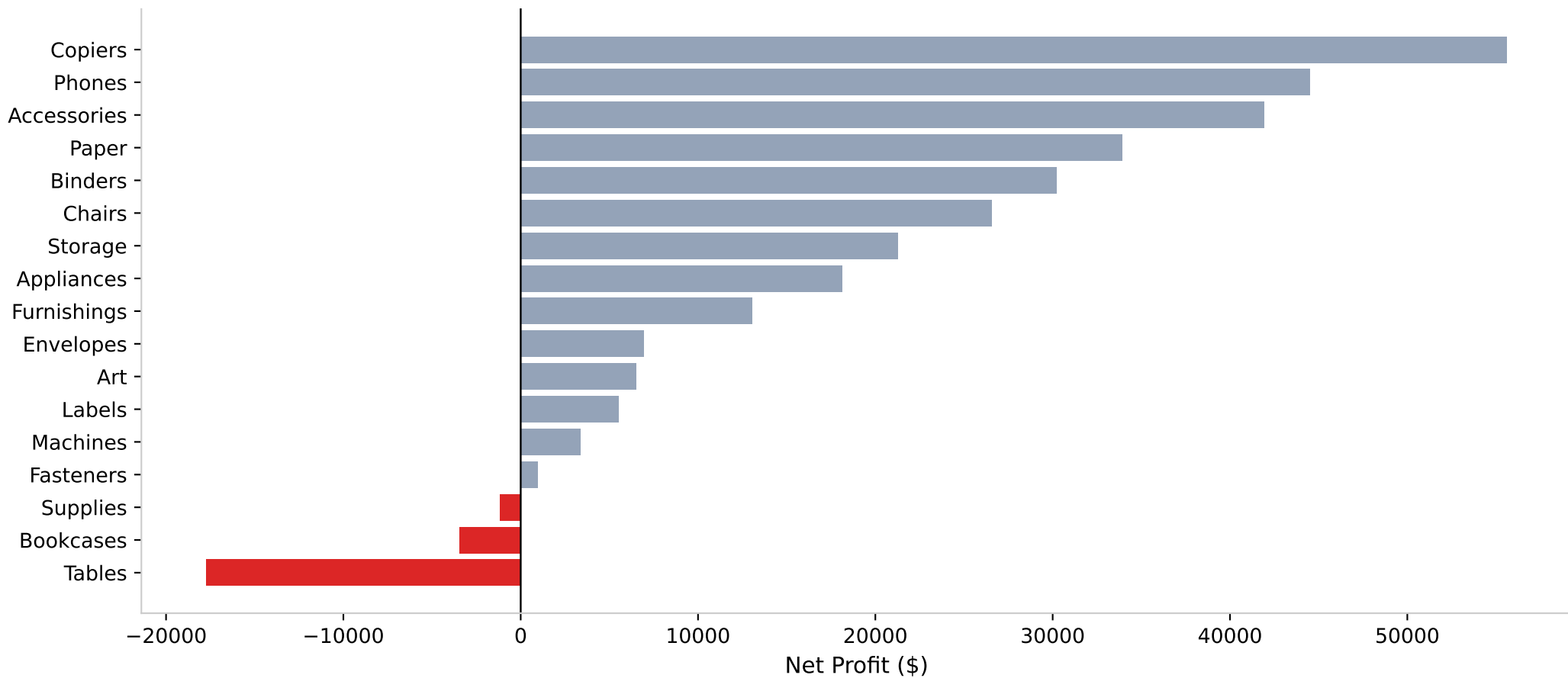
Takeaway: Technology and Office Supplies maintain healthy 17.4% and 16.5% margins, while Furniture drops to an unsustainable 2.49%.

Slide 2: Furniture Suffers Severe Margin Collapse Down to 2.49%



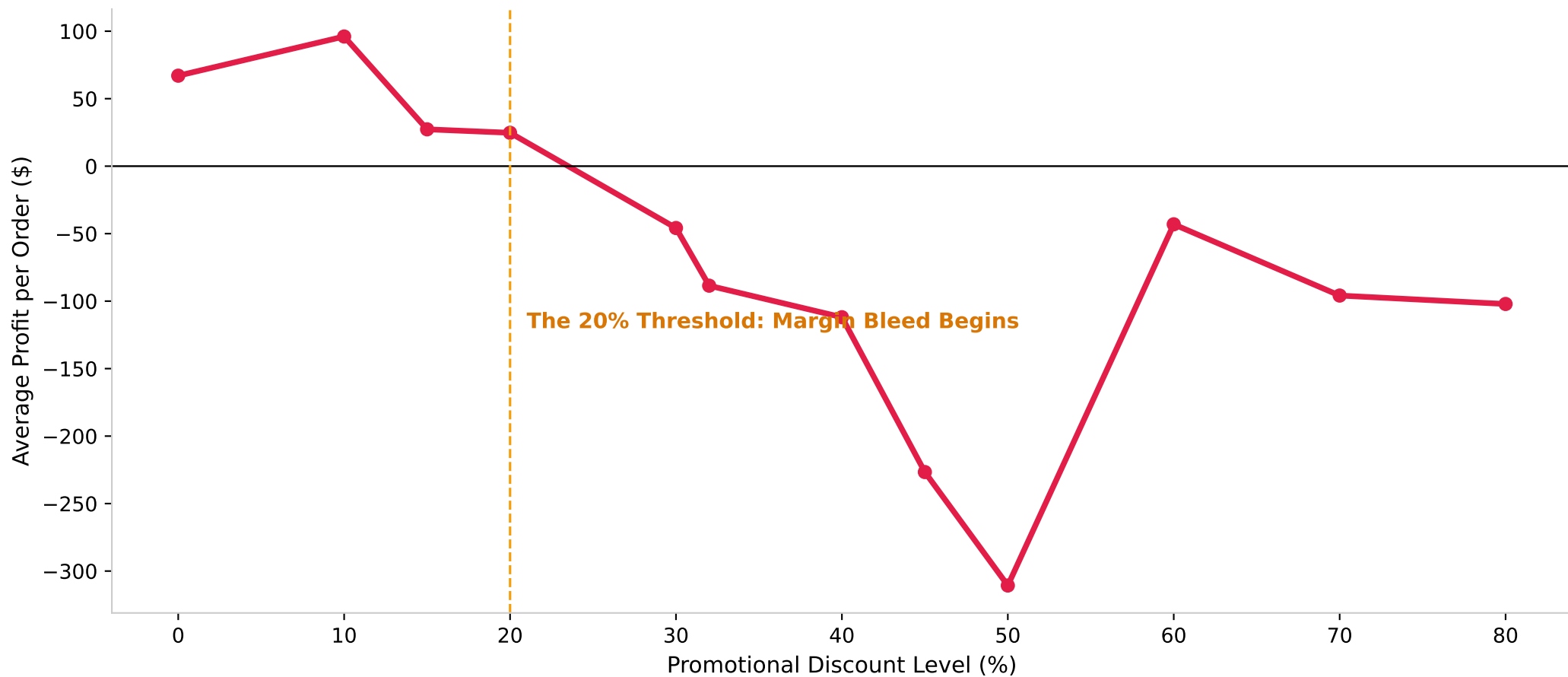
Takeaway: Tables (-17,725) and Bookcases (-3,473) single-handedly wipe out the surplus generated by Chairs and Furnishings.

Slide 3: Tables and Bookcases Are the Primary Profit Drains Across the Catalog



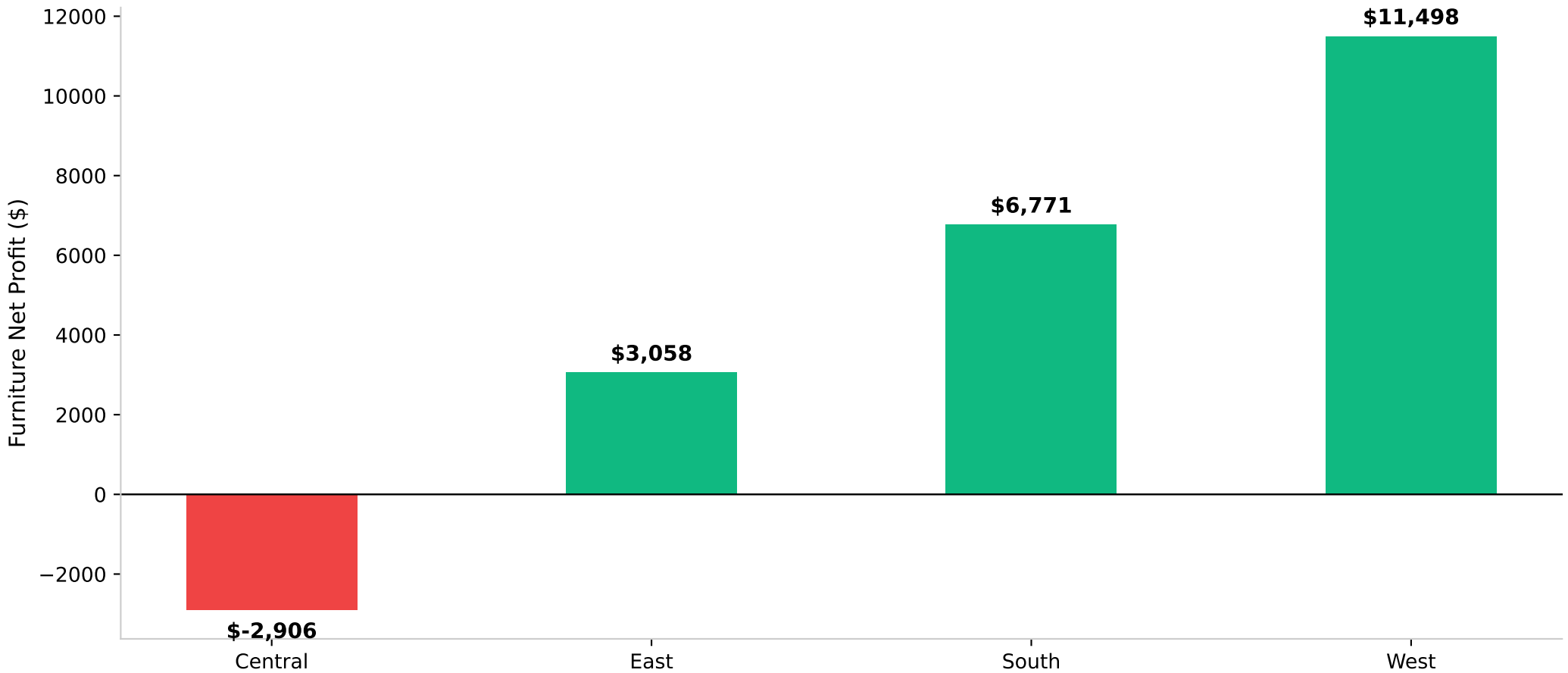
Takeaway: Transactions discounted above 20% incur progressive net losses, reaching an average loss of over \$200 per order at 70%+ discount

Slide 4: Discount Rates Exceeding 20% Systematically Destroy Bottom-Line Margin



Takeaway: While the West and East stay profitable, the Central region lost -\$2,871 on Furniture due to aggressive regional discount discou

Slide 5: Central Region Accounts for the Entirety of Net Furniture Losses



Takeaway: Executing these 3 operational levers will lift Superstore net profit margins from 12.47% to an estimated 16.5%+.

Slide 6: Strategic Recommendations to Protect and Grow Operational Margin

EXECUTIVE ACTION PLAN: RESTORING PORTFOLIO PROFITABILITY

1. Enforce a Firm 20% Discount Ceiling:

- Immediately eliminate ad-hoc discounting above 20% across Furniture lines.
- Requiring director-level approval for exceptions will protect ~85% of currently eroded margins.

2. Restructure the Tables & Bookcases Portfolio:

- Revise supplier contracts and re-evaluate shipping/freight surcharges for bulky items.
- Shift sales commissions toward Net Margin contribution rather than raw Top-Line Sales.

3. Fix the Central Region Strategy:

- Conduct an audit on Central regional pricing agreements to stop localized price wars.
- Align Central regional discounting strictly with East/West pricing models.